EM ASIA FX/RATES VIEWS

Asian tech-related currencies outperform

Danny Suwanapruti
+65-6889-1987 | danny.suwanapruti@gs.com
Goldman Sachs (Singapore) Pte

Chris Poh
+65-6889-3454 | chris.poh@gs.com
Goldman Sachs (Singapore) Pte

Lisheng Wang
+852-3966-4004 | lisheng.wang@gs.com
Goldman Sachs (Asia) L.L.C.

Xinquan Chen
+852-2978-2418 | xinquan.chen@gs.com
Goldman Sachs (Asia) L.L.C.

Irene Choi
+82(2)3788-1722 | irene.choi@gs.com
Goldman Sachs (Asia) L.L.C., Seoul Branch

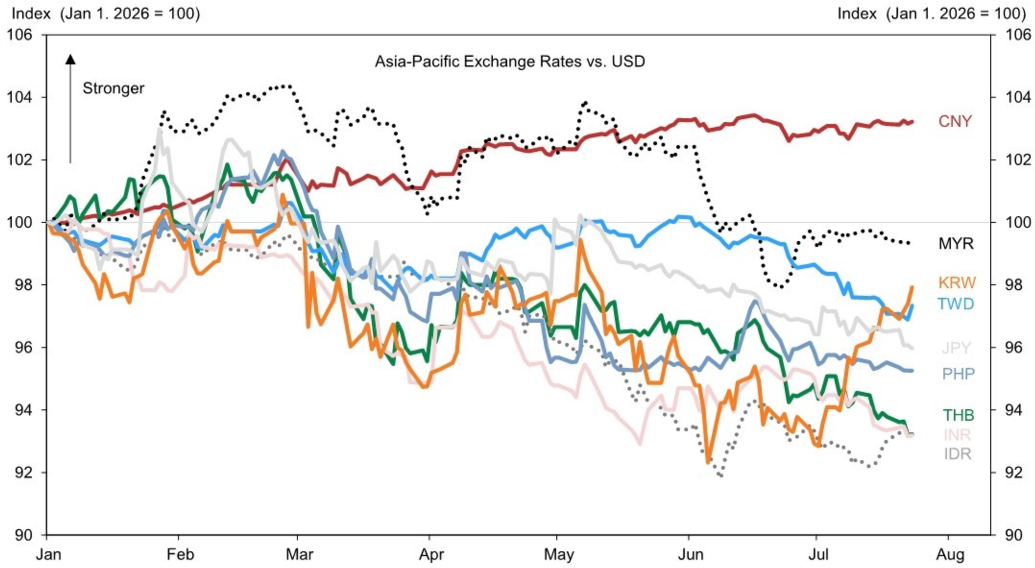
Santanu Sengupta
+91(22)6616-9042 | santanu.sengupta@gs.com
Goldman Sachs India SPL

Arjun Varma
+91(22)6616-9043 | arjun.varma@gs.com
Goldman Sachs India SPL

Andrew Tilton
+852-2978-1802 | andrew.tilton@gs.com
Goldman Sachs (Asia) L.L.C.

1. Clear divergence observed within the Asian FX complex, with tech-related currencies outperforming. The two main drivers of Asian macro markets this year have been the energy supply shock and the AI-related investment boom. Directionally, USD/Asia has broadly risen since February, as DXY has gained around 5% since January. However, within Asian FX, there are notable themes. First, despite broad USD strengthening, USD/CNY continued its grind lower to around 6.77 currently from 7.0 at the turn of the year. Second, tech-related currencies (KRW, TWD, SGD, and MYR) have broadly outperformed non-tech and high energy import-dependent currencies (such as THB, PHP, IDR, and INR) (Exhibit 1). Asian rates markets have sold off this year, as regional central banks have turned more hawkish, with the BSP hiking to temper inflation expectations, BI hiking to defend against currency weakness, and the BoK hiking on much stronger- than-expected growth. The RBI has refrained from hiking thus far and has opted to address currency weakness with FX tools. The re-escalation of the conflict in the Middle East and potential disruption in the Red Sea have driven Brent oil prices back up to USD 100/bbl. Meanwhile, news emerged on July 24, that the US plans to impose 10-12.5% tariffs on 60 trading partners, which comes at a time when a temporary 10% global tariff expires. Our G10 FX strategists recently revised up their USD forecasts vs. EUR and JPY over the next 3-, 6- and 12-month horizons. Given the macro mix of higher oil prices, a more hawkish Fed, a still-intact AI-related investment theme (despite having just experienced a correction), and a USD/CNY anchor, we think the theme of Asian tech-related currency outperformance should persist in the coming months.

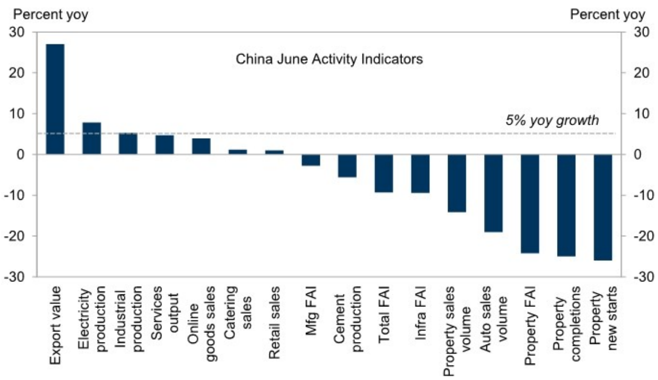
Exhibit 1: CNY and Asian tech-related currencies have outperformed this year



Source: Bloomberg, Goldman Sachs Global Investment Research

2. China – Widening divergence between exports and domestic consumption; CNY appreciation trend to persist. China's growth momentum slowed notably from 5.3% in Q1 to 3.6% qoq annualized in Q2. While export-related activity remained robust, domestic consumption indicators showed a meaningful slowdown, further widening the divergence (Exhibit 2). Nominal exports have been growing in the range of 15–30% yoy, while retail sales growth slowed from 3.7% in 2025 to 1.3% yoy in the first half of 2026. Fixed asset investment (FAI) weakened further from -3.8% yoy in 2025 to -5.7% yoy in H1-2026, while property indicators remained sluggish. We attribute the decline in growth momentum to three factors: i) the fiscal impulse turned negative in Q2 following the strong Q1 GDP print; ii) the energy supply shock led to lower production of chemicals and refined petroleum products; and iii) adverse weather conditions. To summarize, China's economy is being propelled by strong performance in high-tech manufacturing and related sectors, while activity across the broader economy remains subdued. Our economists expect growth momentum to pick up in H2-2026, supported by fiscal easing, and forecast full-year GDP growth of 4.6% yoy. The energy supply shock should have less of an adverse impact on the economy, as oil prices have retreated from their Q2 highs. The CNY has outperformed and is the only Asian currency to have appreciated against the USD this year (Exhibit 3). We expect the moderate appreciation trend to persist, supported by the CNY's still-significant undervaluation versus the USD, policymakers' desire to promote CNY internationalization, and continued export strength, while also helping to temper the mild uptick in inflation. We maintain our 12-month USD/CNY forecast at 6.50, which is slightly below forwards.

Exhibit 2: Divergence between exports and domestic activity widens in China



Source: CEIC, Goldman Sachs Global Investment Research

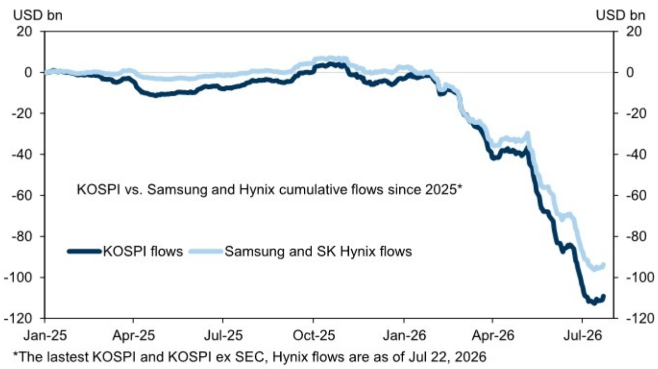
Exhibit 3: USD/CNY continues to grind lower, even as DXY strengthened this year

DXY: US Dollar Index, which measures the value of the US Dollar vs. a basket of currencies.

Source: Bloomberg

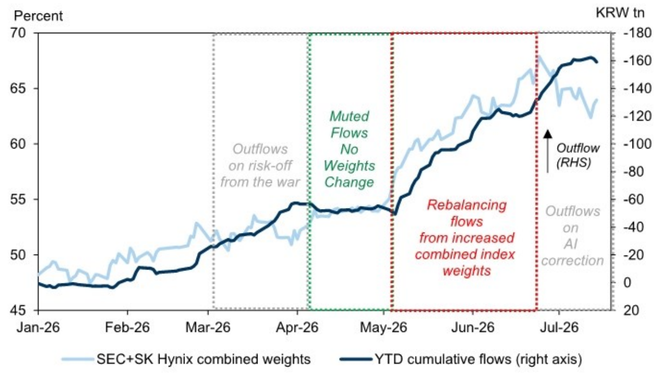
3. South Korea – Current account continues to surge, while reduced foreign equity outflows pave the way for a KRW rally. The AI-driven export boom has been highly supportive of Korean exports, fiscal revenues, and growth this year. The current account surplus reached USD 143bn between January and May, already exceeding the full-year 2025 surplus of USD 123bn. Our economists project the current account surplus to rise to almost USD 300bn, or 13.9% of GDP, this year versus 6.5% of GDP in 2025, which would mark a record high. Despite the surge in exports and the 100% rally in the KOSPI in H1-2026, the KRW initially underperformed in 2025 and earlier this year due to portfolio outflows. While last year's capital outflows were primarily driven by domestic investors (including the NPS and retail investors), this year foreign investors have net sold around USD 100bn year-to-date (Exhibit 4). The KOSPI's sharp outperformance relative to global equity markets, and the outperformance of two stocks within the KOSPI, led foreign investors to reduce their Korean equity exposure to manage concentration risk (Exhibit 5 and Exhibit 6). However, more recently, with the KOSPI correcting by almost 30% since mid-June, the pace of foreign equity outflows has slowed significantly (Exhibit 7), thereby lessening the offset to the surging current account surplus and paving the way for the KRW's outperformance in July. We expect the current account surplus to continue supporting the KRW, although equity market dynamics warrant close monitoring, particularly if we were to see renewed foreign outflows, as seen in H1-2026. However, if the KOSPI rally broadens out (which is our equity strategist's base case) or the KOSPI trades in a more range-bound manner, we believe these conditions would be conducive for the KRW, since it would likely be driven more by the strong current account story.

Exhibit 4: Foreign outflows have been ~USD 100bn YTD, mostly concentrated in two stocks



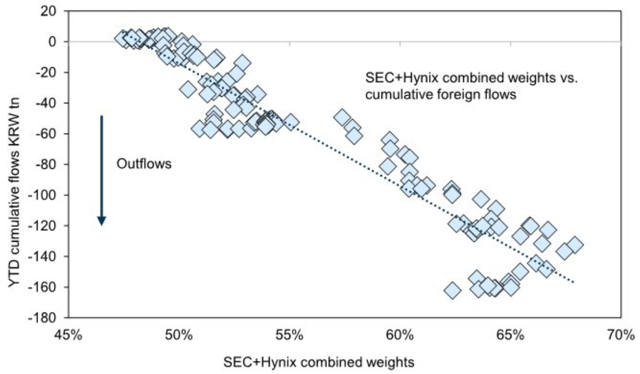
Source: Bloomberg, Haver Analytics

Exhibit 5: Risk-off and portfolio rebalancing episodes have driven foreign equity outflows from Korea



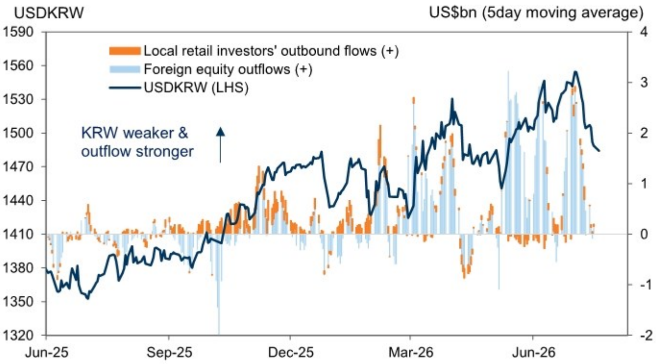
Source: Bloomberg, Haver Analytics

Exhibit 6: Equity outflows have tended to pick up pace as the KOSPI index concentration increases



Source: MSCI, Bloomberg, Goldman Sachs Global Investment Research

Exhibit 7: Reduced equity outflows paves the way for KRW rally



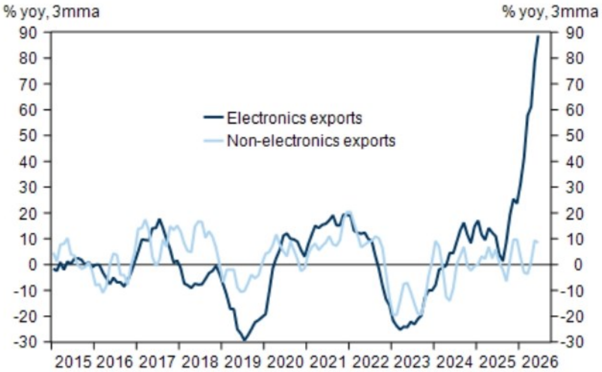
Source: Haver Analytics, Goldman Sachs Global Investment Research

4. Taiwan – Stellar exports to support TWD's outperformance in H2-2026. Taiwan's exports have been growing at a record pace of 40%-70% for most of this year. Our economists expect the current account surplus to rise to 25% of GDP this year, up from a record 20% of GDP in 2025, and expect GDP growth to accelerate to 10.3% in 2026 from 8.8% in 2025, which would rank among the strongest growth rates since the 1980s. Despite the robust growth outlook, the CBC left its policy rate unchanged at 2.0% in June. At the press conference, the Governor noted that the board maintains a hawkish bias in the sense that it remains vigilant regarding inflation risks. However, other comments were more dovish, emphasizing that Taiwan's inflation outlook remains benign and that inflation around 2% is generally acceptable. Based on the Governor's remarks, we believe the hurdle for further policy tightening is higher than previously expected, leading our economists to revise their forecast to no additional rate hikes this year (versus two hikes previously). The TWD has outperformed most Asian currencies since the start of the Middle East conflict, with Taiwan's semiconductor exports helping to offset the impact of higher oil prices on the terms of trade. With portfolio flows more balanced (compared to Korea), the very strong current account surplus and large accumulation of USD deposits should remain supportive factors for the TWD. Looking ahead, we expect the TWD to continue outperforming regional peers, although the pace of appreciation is likely to remain gradual, reflecting the CBC's preference for exchange rate stability.

5. India – RBI's FX measures are supportive of the INR, while likely improving the chances of Global Aggregate Index inclusion. The overall macroeconomic impact from the energy supply shock has been less than initially feared. Q1 GDP growth came in at 7.8% yoy, around 50bp above our forecast. Q2 growth has been tracking above our earlier expectations, and thus our economists revised up their CY2026 real GDP growth forecast by 0.3pp to 6.8% at the end of June. On June 5, the RBI and the Government of India announced a series of capital flow measures. These include full FX hedging support for new 3- to 5-year Foreign Currency Non-Resident (FCNR) deposits and concessional FX swap rates for quasi-sovereign companies raising USD funding. There were also two bond-related measures that should improve India's eligibility for inclusion in the Bloomberg Global Aggregate Bond Index. The authorities removed interest and capital gains taxes on government bonds for foreign institutional investors (FIIs) and expanded the Fully Accessible Route (FAR) universe to include all new 15-, 30-, and 40-year bonds. A key driver of USD/INR has been oil prices, which have risen in recent weeks following the re-escalation of Middle East tensions. Our Commodities team has highlighted upside risks to oil prices on these tensions, but maintains its end-2026 Brent crude forecast of USD 80/bbl, citing a significant supply overhang that could return to the market in the event of de-escalation. Looking through the near-term volatility, we maintain our recommendation to be short THB/INR (entry 2.91, current 2.85, target 2.70, stop-loss 3.05). We also recently recommended going long 30-year government bonds (entry 7.34%, current 7.45% , target 6.90% and stop-loss 7.65%).

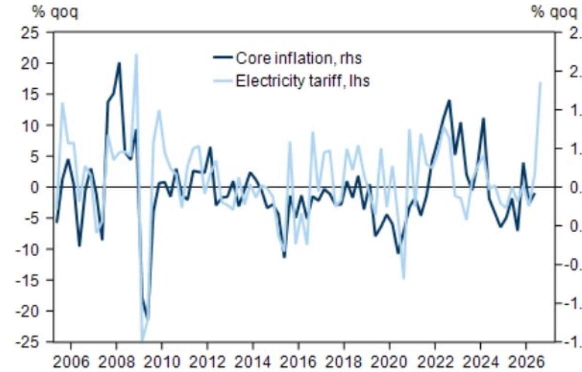
6. Singapore – MAS to stay on hold in July, but watchful of secondary inflation pass-through. Despite being an open economy facing an energy shock, Singapore's economic momentum has remained firm. Advance GDP estimates show that the economy grew 5.7% yoy in Q2, above the consensus forecast of 5.5%, underpinned by the AI-led tech upcycle and stronger financial intermediation activity (Exhibit 8). Core inflation has remained subdued (1.6% yoy in June from 1.4% in May), partly because Singapore's core inflation measure excludes accommodation and private transport, limiting the direct impact of higher retail fuel prices on core CPI. The key risk is delayed energy pass-through, as regulated electricity tariffs are reset with a lag. As such, the Q3 electricity tariff increase (which will rise by 17%) could lift July core inflation and generate some second-round effects (Exhibit 9). Nevertheless, our analysis suggests the overall impact should be manageable. Against this backdrop of firm growth, contained core inflation, and still-uncertain pass-through effects, we expect MAS to adopt a wait-and-see approach while retaining a mildly hawkish bias and monitoring spillovers into wages, services prices, and inflation expectations. The SGD NEER is currently trading around +1.5% above the mid-point of the policy band. Given our expectation that MAS will leave policy settings unchanged, we see limited scope for the SGD to significantly outperform regional peers. As such, we remain comfortable using the SGD as a funding currency for our long MYR position.

Exhibit 8: Electronics exports have supported Singapore's growth momentum



Source: SingStat, Goldman Sachs Global Investment Research

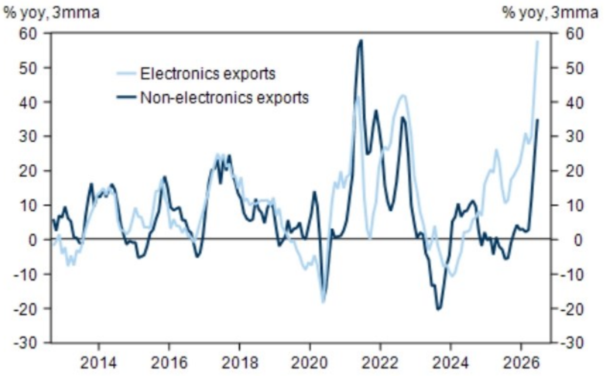
Exhibit 9: Sharp rise in electricity tariffs will have spillovers to core inflation



Source: SingStat, Goldman Sachs Global Investment Research

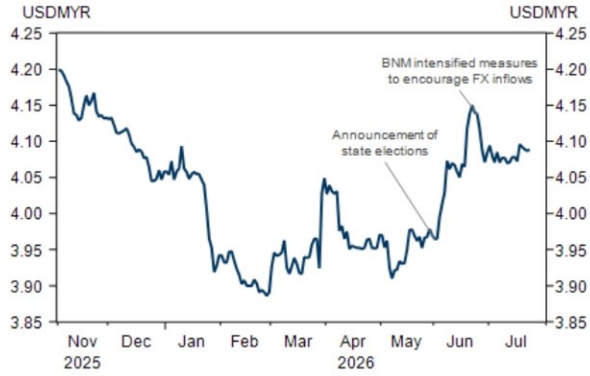
7. Malaysia – Growth remains resilient, supported by both external and domestic demand. The AI-related technology upcycle continues to feed into real economic activity, with advance GDP showing that the economy grew 5.8% yoy in Q2, above the consensus forecast of 5.2% (Exhibit 10). Fuel subsidies continue to shield households and businesses from higher energy costs, helping to sustain demand, while credit growth remains supportive. We expect BNM to remain on hold through 2026. The MYR was Asia's best-performing currency in 2025 and for much of 2026 but underperformed in June, which we believe reflected a rise in the domestic political risk premium rather than weaker macro fundamentals (Exhibit 11). Concerns emerged following the dissolution of the Johor and Negeri Sembilan state assemblies and earlier remarks by Prime Minister Anwar Ibrahim that a snap election could be possible if the unity government fractures. It is worth noting that the next general election is not officially due until February 2028. Johor held its state election on July 12, with Barisan Nasional (BN) winning 48 out of 56 seats, up from 40 seats in 2022, while PM Anwar's Pakatan Harapan (PH) secured eight seats, down from 12 previously. Attention now turns to the Negeri Sembilan state election on August 1. In our view, Malaysia's relative political stability has been an important factor supporting investment, capital inflows, and the MYR's outperformance over the past two years. Unless a significant political risk premium is further priced into markets, particularly around the possibility of a near-term snap election, we believe the broader fundamentals remain supportive of the MYR.

Exhibit 10: Malaysia's electronics exports have supported growth while non-electronics exports have been bolstered by higher energy production



Source: DOSM, Goldman Sachs Global Investment Research

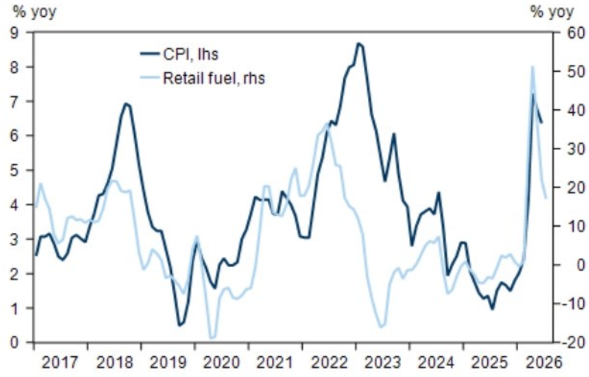
Exhibit 11: Measures by BNM to encourage FX inflows have helped to limit excessive volatility and depreciation pressure



Source: DOSM, Goldman Sachs Global Investment Research

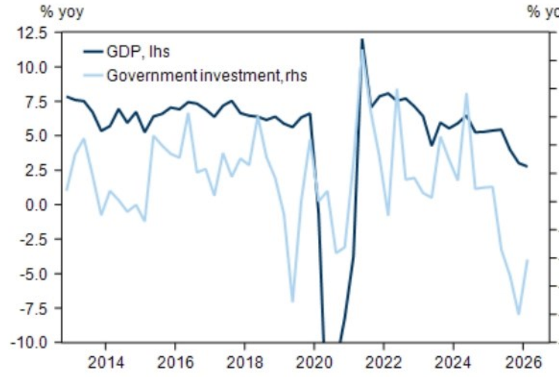
8. Philippines – Higher underlying inflation keeps the BSP cautious. Headline CPI inflation eased in June on lower energy and food prices, but the disinflation trend remains fragile. Renewed US-Iran tensions are already pushing fuel prices higher, while firmer core inflation points to broader price pressures and emerging second-round effects (Exhibit 12). We think inflation risks are also skewed to the upside, driven by the record minimum wage increase and potential food price shocks from El Niño. During our May visit to Manila, policymakers noted that second-round inflation effects typically peak around two quarters after the initial shock, based on their 2022 experience. Reflecting these concerns, the BSP raised rates by 25bp in both April and June, taking the policy rate to 4.75%, and we expect a further 75bp of tightening over the rest of 2026. Growth has remained soft since H2-2025, partly due to disruptions linked to the flood-control corruption scandal, which weighed on public investment (Exhibit 13). Real GDP growth slowed to 2.8% yoy in Q1. While policymakers expect investment activity to recover in H2-2026, both we and local investors remain more cautious, as experience elsewhere suggests recoveries following anti-corruption campaigns tend to be gradual. Fiscal consolidation also limits the scope for stimulus. The PHP has underperformed regional peers this year due to the Philippines' high exposure to higher oil prices. If oil remains in the USD90-100/bbl range, the PHP is likely to stay under pressure. However, a decline in oil prices driven by easing Middle East tensions could position Philippine assets among the region's outperformers.

Exhibit 12: CPI inflation may remain elevated as a renewed increase in global oil prices pushes costs higher



Source: PSA, Goldman Sachs Global Investment Research

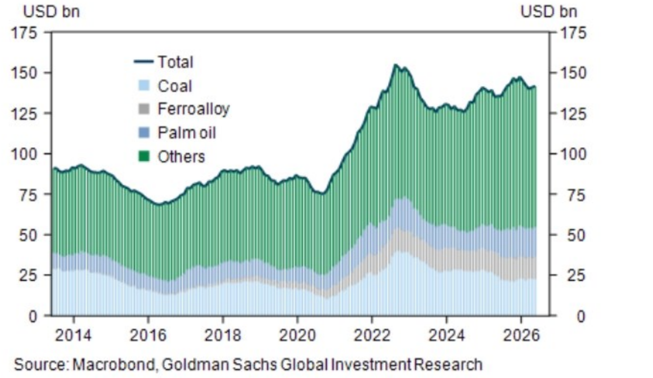
Exhibit 13: Sharp decline in government investments since H2-2025 led to a slowdown in the economy



Source: PSA, Goldman Sachs Global Investment Research

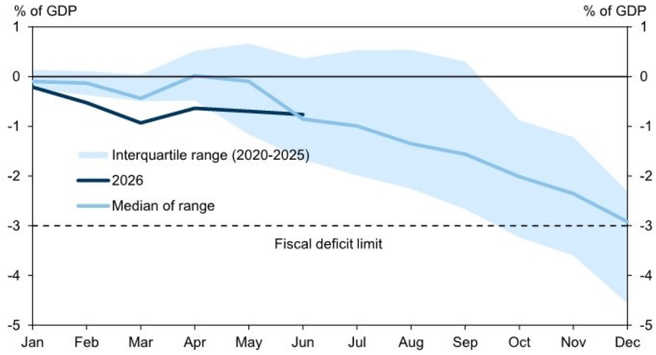
9. Indonesia – BI conserving policy space (to hike later), while expanding incentives to encourage inflows. The IDR has underperformed Asian FX this year. To address the currency weakness, Bank Indonesia (BI) hiked rates by 50bps in May and 50bps in June (one off-cycle and one at a scheduled meeting). BI also said that it would raise SRBI yields across 6-, 9-, and 12-month tenors to attract inflows and help stabilize the IDR. However, BI kept policy rates unchanged this past week at 5.75% (versus consensus expectations for a 25bp hike) but broadened incentives to attract foreign inflows. These include increasing the discount given to investors to hedge onshore assets (such as local government bonds) to 12.5% for onshore FX forwards from 10% earlier and introducing a 15% discount on domestic non-deliverable forwards (DNDFs). In our view, BI's decision reflects its comfort with inflation staying within the target range despite acknowledging upside risks from weather-related uncertainty, while preserving policy space (to hike later), as it anticipates the Fed hiking in Q4 2026. The USD has been more range-bound over the past few weeks, while S&P affirmed its 'BBB' rating with a stable outlook for Indonesia on July 13, which provided some relief to the IDR. However, there are still several concerns around macro policy, which should keep the IDR under pressure over the medium-term. The government plans to supervise natural resource exports. While aimed at improving tax revenue and preventing export under-invoicing, investors are worried that the added bureaucracy could delay exports (Exhibit 14). Indonesia's parliament passed a law to expand BI's mandate, leading to investor concerns around the inflation targeting framework. Meanwhile, Indonesia avoided a downgrade by MSCI from Emerging to Frontier markets in June, but the index provider's message remains cautious, with the next review due in November. The above pressures add to the already challenging set of macro objectives, including the President's pro-growth preference, maintaining fuel subsidies, the free meal program (1.0% of GDP after a recent cut to IDR 229trn from IDR 268trn) and keeping within the 3% fiscal deficit cap (Exhibit 15). Given these domestic concerns, we remain bearish on the IDR and expect it to underperform NJA FX peers.

Exhibit 14: Coal, ferroalloy, and palm oil account for 40% of total exports



Source: BPS, Goldman Sachs Global Investment Research

Exhibit 15: Historical patterns suggest the fiscal deficit will rise further in H2-2026



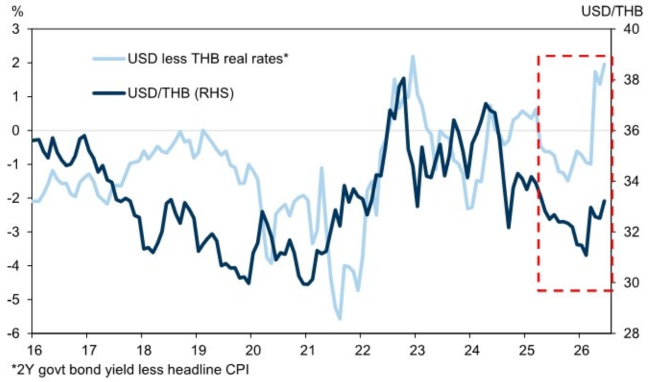
Source: MOF, Goldman Sachs Global Investment Research

10. Thailand – The THB underperforms on lower gold prices and lower real rates. The Thai Baht (THB) has flipped from being one of the best-performing Asian currencies in 2025 (trailing only the MYR) to the worst-performing low-yielding Asian currency this year. This underperformance occurred in spite of the BoT's recent upward revision to its 2026 GDP forecast to 2.3% yoy (from 1.5%), where a +0.6ppt growth boost was attributed to the THB 400bn emergency decree and +0.2ppt was due to better tracking growth in Q1 and Q2. Moreover, the political environment appears more stable following the convincing election results in February this year. Apart from the energy shock, we attribute the THB's weakness to three factors. First, there was a sizable equity outbound flow at the end of June, when Singapore's Singtel sold a 2.3% stake in Thailand's Gulf Energy, which was worth USD 1bn. Second, global gold prices have dropped to around USD 4000/oz from just under USD 5,500/oz at the start of the year (Exhibit 16). As we have discussed previously, there exists a positive correlation between gold prices and the THB, given Thailand's role as a large gold trading hub. The BoT announced several measures at the end of February to try to de-link this correlation, but they are only likely to take effect and fade gradually. Lastly, we note that real rate differentials have shifted significantly in favor of a stronger USD/THB (Exhibit 17). The BoT has cut policy rates to 1.0%, while inflation prints have been rising (2.4% yoy in June), leaving real rates in negative territory. Meanwhile, US real rates have risen. Looking ahead, while shifts in oil and gold prices will continue to affect Thailand's terms of trade and tourism outlook, we expect the currency to continue to underperform on its low real rates and see it as a good funder against higher-carry currencies in the region, and continue to recommend short THB/ INR.

Exhibit 16:
Lower gold price alleviates THB strengthening pressure

Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 17: Rising USD vs THB real rates have exerted upward pressure on USD/THB



Source: Bloomberg, Goldman Sachs Global Investment Research

Summary tables

Exhibit 18: Our views on relative performance of NJA FX and rates (3 month outlook)

	FX outlook*	Rates outlook**	Comments
China	Bullish	Neutral	Export strength, FX undervaluation and PBoC's broader tolerance for CNY strength underpins our bullish CNY view. Recent PBoC actions signal pace management of CNY appreciation.
Korea	*Bullish*	Neutral	Reduced foreign equity outflows has lessened offset to surging current account surplus, paving way for KRW rally. Rangebound or broadening of KOSPI rally should be positive for KRW.
Taiwan	Bullish	Neutral	Robust trade surplus from tech exports and large accumulation of USD deposits presents asymmetric risk for TWD strength. Neutral on TWD rates, as we expect CBC to remain on hold.
Hong Kong	Neutral	Neutral	Broad USD strength has pushed USD/HKD towards the upper end of the convertibility band; we expect spot to stay rangebound from here.
India	*Bullish*	*Bullish*	RBI's FX measures to attract inflows were meaningful. Lower oil prices (from peaks) should help temper inflation and fiscal concerns. We also like INR duration and recommend 30Y bonds.
Singapore	Neutral	Neutral	Growth had held up in Q2, while rise in inflation has been moderate. MAS already pre-emptively tightened policy in April and we do not expect further tightening this year.
Thailand	Bearish	Neutral	BoT remains neutral and likely to look through transitory inflation pressures. Lower gold prices and lower real rates should exert weakening pressures on the THB.
Malaysia	Bullish	Neutral	MYR has been under pressure on increased political risk premium around state elections. However, growth, export and FDI outlook remains solid and we remain constructive the MYR.
Indonesia	Bearish	Bearish	BI rate hikes and FX measures provided short-term relief for IDR. However, concerns on natural resource export rules, governance and fiscal discipline to keep the IDR under pressure.
Philippines	*Neutral*	*Neutral*	BSP is vigilant on second-round inflation and remains hawkish. PHP outlook is highly correlated to oil prices, given limited subsidies and high pass through.

*Performance of spot and carry relative to Asian peers; ** Rates market outlook vs. current yield level (reference to 5Y swaps or bond yields)
Italics denote a change from our previous stance.

Source: Goldman Sachs Global Investment Research

Exhibit 19: Trade Ideas in EM Asia rates and FX

Trade Ideas in EM Asia rates and FX

Open trades	Initiated	Current	Entry	Target	Stop	Total PnL (capital and carry)
Long INR 30-year bonds	26-Jun-26	7.44%	7.34%	6.90%	7.65%	- 10bps
Short THB/INR	12-Jun-26	2.86	2.91	2.70	3.05	+ 2.3%
Short SGD/MYR	23-Jan-26	3.17	3.13	2.90	3.30	- 1.3%

*Target / Spot-loss levels are expressed in index terms to incorporate the total returns from; i) duration, ii) carry and iii) spot FX where appropriate.

Closed trades	Initiated	Closed	Entry	Closed	Total PnL (capital and carry)
Receive THB THOR 2Y OIS	23-Jan-26	9-Mar-26	1.20%	1.13%	+15bps
Long PHP 5Y bond FX-hedged	5-Aug-25	5-Mar-26	5.93%	5.77%	+32bps
Long INR 30Y bonds FX-hedged	5-Sep-25	11-Feb-26	7.22%	7.47%	+20bps
KRW 2Y IRS	18-Nov-25	4-Feb-26	2.80%	3.16%	-35bps
Short SGD/TWD	3-Oct-25	7-Jan-26	23.57	24.6	-3.80%
Short THB/KRW	10-Jan-25	9-Sep-25	42.3	43.74	-3.30%
Long 1Y SRBIs fully FX hedged	3-Oct-24	21-Jul-25	6.82%	6.58%	+112bp
Long 2Y CGBs	6-Apr-25	16-May-25	1.47%	1.47%	0bp
Receive INR 2Y NDOIS	28-Jan-25	16-May-25	6.08%	5.48%	+44bp
Long KRW 2s10s IRS Steepener	4-Sep-24	16-May-25	-12bp	20bp	+9bp
Long INR vs. Asian FX basket (CNH, TWD, THB, MYR, and SGD with equal weights)	6-Jan-25	3-Apr-25	100	100.33	+33bp
Long 5Y CGB on a FX-hedged basis	17-Nov-24	21-Feb-25	1.69%	1.55%	+14bp
Long INR vs. Asian FX basket (CNY, KRW, TWD, THB, MYR, SGD and JPY with equal weights)	17-Nov-24	6-Jan-24	100	100.48	+114bp
Long 2Y IGBs FX-unhedged	29-Feb-24	6-Nov-24	7.02%	6.50%	+3.8%
Pay THB 2Y THOR OIS	7-Aug-24	1-Oct-24	2.02%	2.04%	+8bp
Short CNY vs. CFETS basket	9-Aug-24	30-Sep-24	100	103	-0.7%
Short EUR/INR	12-Jan-24	21-Aug-24	90.91	93	-0.3%
Rec SGD 2Y SORA OIS vs. basket of global 2Y rates	14-Apr-23	6-Aug-24	-8bp	-28bp	+42bp
Short THB/KRW	15-Mar-24	26-Jul-24	37.17	38.31	-2.7%
Long THB 3Y bonds vs. paying 3Y THOR swaps	10-Jan-24	10-Jul-24	-20	-10	+10bp
Long 1Y CGB (FX hedged)	10-Nov-23	27-Apr-24	2.25%	1.65%	+60bp
Long 10Y INDOGBs FX-unhedged	14-Dec-23	17-Apr-24	6.60%	6.75%	-15bp
Short TWD/KRW	13-Jun-23	15-Mar-24	41.42	41.83	+0.3%
Short MYRTHB	10-Nov-23	7-Feb-24	7.63	7.48	+2.0%

Source: Goldman Sachs Global Investment Research

Disclosure Appendix

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Contributing Authors: Danny Suwanapruti Goldman Sachs (Singapore) Pte, Chris Poh Goldman Sachs (Singapore) Pte, Lisheng Wang Goldman Sachs (Asia) L.L.C., Xinquan Chen Goldman Sachs (Asia) L.L.C., Irene Choi Goldman Sachs (Asia) L.L.C., Seoul Branch, Santanu Sengupta Goldman Sachs India SPL, Arjun Varma Goldman Sachs India SPL, Andrew Tilton Goldman Sachs (Asia) L.L.C..

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